FORDHAM UNIVERSITY, GABELLI SCHOOL OF BUSINESS
Contemporary Concepts in Equity Analysis

General Motors Company

NYSE: GM — Investment Research Report

Recommendation: BUY / OVERWEIGHT — Price Target: $100 (Base) | $121 (Bull) | $68 (Bear)

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Executive Summary

General Motors (NYSE: GM) is rated **Buy** with a **12-month** price target of **$100**, implying over **32%** upside from current levels. GM is the #1 automaker in the United States with 17.3% market share in 2025. It's built on a product portfolio concentrated in full-size pickup trucks and large SUVs, which are the highest-margin vehicle categories in the industry. The stock trades at roughly **6.1x the midpoint of GM's updated 2026 adjusted EPS guidance and a ~15%** free cash flow yield on a **$68.5 billion market cap**. The bull case rests on five compounding drivers: a structurally lower breakeven, $28 billion in buybacks since 2023 that have compressed the share count 37%, dominant truck pricing power with the lowest incentive ratio among the Detroit Three, a $5.4 billion deferred software revenue base that the market is undervaluing, and $1.5 to $2.25 billion in 2026 earnings improvement flowing directly from the EV restructuring charges the market already penalized the stock for. Key risks include tariff exposure, Ram's competitive re-entry into the truck segment, and a softening SAAR environment.

Business Overview and Segment Composition

General Motors operates through three economically distinct businesses: GM North America designs, manufactures, and sells vehicles under the Chevrolet, GMC, Buick, and Cadillac brands, contributing $10.5 billion in adjusted EBIT in 2025 (82% of EBIT). The product portfolio is deliberately narrow: after exiting sedans and compact cars between 2018 and 2019, GM concentrated almost entirely on full-size pickup trucks, large SUVs, and crossovers, segments where buyers choose on capability rather than price, and where GM has led the full-size pickup market for six consecutive years and the full-size SUV segment for 51 straight years. The Silverado, Sierra, Tahoe, Suburban, Yukon, and Escalade are the profit engine; truck and large SUV EBIT margins run approximately 16%, nearly twice the company's overall adjusted margin.

GM International covers South America, the Middle East, and South Korea, contributing $737 million (6% of EBIT) in adjusted EBIT in 2025 on $13.4 billion in revenue. China sits within GMI structurally but is accounted for differently: GM holds a 50% stake in the SAIC-GM joint venture, which does not consolidate into GM's revenue but flows as equity income below the EBIT line, averaging roughly $610 million annually from 2020 to 2025 excluding the anomalous 2024 restructuring write-down.

GM Financial is a captive auto lender that provides loans, leases, and dealer financing; it carries approximately $114 billion in structural debt within the lending model (analyzed separately from automotive net debt). In 2025, GM Financial generated $2.8 billion in adjusted pre-tax earnings on $17 billion in revenue. Auto-loan delinquencies, which have surged to a 32-year high, are a watch item for 2026.

The Cruise autonomous vehicle segment, which peaked at $2.7 billion in annual losses, was effectively wound down in late 2024 and now contributes zero. The investment thesis is almost entirely a

GMNA story. GMNA generates the cash, GM Financial recycles some of it through vehicle financing, and the buyback program returns the rest.

General Information Data Box:

Closing Price (as at 04/29/2026)	$76.00
Shares Outstanding:	903.97M
Market Capitalization:	~$68.5B
52-Wk Low-Hi:	$41.60 – $87.62
Average Daily Trading Volume:	~9.85M
Short Interest (as a % of Float):	23.55M (2.98%)
Float:	~901.13M
% Float/S/O:	~901.13M/903.97M = 99.6%
Dividend Yield (Trailing and Forward):	0.75% (trailing) and 0.95% (forward)
Debt Ratings (S&P/Moody's):	BBB / Baa2

2025 Stock Performance (05/05/2025 - 05/01/2026)



1. Financial Statements — Five-Year History Plus FY 2025 Actuals

Income Statement Summary ($ millions, except per-share)

Metric	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Total Revenue	122,485	127,004	156,735	171,842	187,442	185,019
EBIT-adjusted	9,710	14,295	14,474	12,357	14,934	12,747
EBIT-adjusted Margin	7.9%	11.3%	9.2%	7.2%	8.0%	6.9%
Net Income (GAAP, attrib.)	6,427	10,019	9,934	10,127	7,189*	2,697
Net Income Margin	5.2%	7.9%	6.3%	5.9%	3.8%	1.5%
GAAP EPS-Diluted	4.33	6.70	6.13	7.32	~6.37	3.27
EPS-Diluted-Adjusted (Non-GAAP)	**4.90**	**7.07**	**7.59**	**7.68**	**10.60**	**10.60**
Auto Operating Cash Flow	7,519	9,693	19,094	20,828	23,939	18,733
Adj. Auto Free Cash Flow	2,610	2,564	10,466	11,666	14,045	10,595
Capex (Auto)	~5.3B	~7.0B	~9.0B	~11.0B	~11.0B	~10.5B

Balance Sheet Highlights (as of 12/31/2025)

Item	Amount
Cash & marketable securities (Auto)	~$21.7 billion (year-end balance)
Total Auto Liquidity	~$36 billion (incl. revolvers)
Auto Debt (excl. GM Financial)	~$16–17 billion
GM Financial Debt	~$110 billion (matched-book funding)
Total Assets (consolidated)	~$280 billion
Pension Underfunded Status	~$3.6 billion (US qualified plans, Dec 2025)
Shares Outstanding	**904 million** (down from ~1.47B in early 2021)

2. Competitor Valuation Multiples

GM trades at one of the lowest multiples in the OEM peer group, far below both legacy rivals and dramatically below Tesla.

Multiple	GM	Ford (F)	Toyota (TM)	Stellantis (STLA)	Tesla (TSLA)
Trailing P/E	~22x*	~12x	~10–11x	~9–10x	~210–410x
Forward P/E	**~6.1x**	~6.8x	~9-10x	~6–7x	~150x+
P/Sales	~0.36x	~0.27x	~0.95x	~0.20x	~13x
P/Book	~0.95x	~1.1x	~1.3x	~0.6x	~22x
EV/EBITDA	~6.0x**	~10x	~9x	~3.5x	~88x
Dividend Yield	1.0%	~5.0%	~3.0%	~7%+	0%

** GM trailing P/E is distorted upward by 2025 GAAP net income of only $2.7B (depressed by $7.6B EV charges + China). On adjusted EPS of $10.60, trailing P/E is ~6.9x.*
***EV/EBITDA shown on a Street/conventional basis; automotive-only EV/EBITDA is discussed separately in valuation."*

GM Historical Forward P/E:
~5.5x (2021), ~6.5x (2022), ~5.5x (2023), ~5.0x (2024), ~6.1x (2026E).

The peer-group history shows GM's forward P/E has averaged 5–7x over the past five years, but the 10-year average prior to the 2020 COVID-era de-rating is closer to 8–10x. The thesis hinges on whether 6.1x is the right multiple for a structurally improved business.

3. Industry Analysis and Competitive Positioning

The North American auto industry is mature, cyclical, and right now under significant pressure. US light vehicle SAAR came in at 16.3 million units in 2025 and is expected to soften to roughly 15.8 to 16.0 million in 2026. The reason is simple: affordability. Average monthly payments hit a record $776, new vehicle ATPs crossed $50,000 for the first time, and auto loan delinquency rates reached 1.47%, a level that exceeds the Great Recession peak. Tariffs add another layer. GM now expects gross 2026 tariff costs of $2.5–$3.5B, down from its prior $3–$4B estimate. The Iran conflict pushed national average gas prices above $4 per gallon, and the expiration of federal EV tax credits in September 2025 cratered EV demand, with market share falling from 10.5% in Q3 2025 to below 6% by year's end. This is a tough macro environment.

The industry's competitive structure, particularly in the truck and SUV segments where GM generates the majority of its profits, is far more favorable than the overall market picture suggests. GM holds roughly 40% of the full-size pickup market, generates approximately 16% EBIT margins on truck sales, and has led the segment for six consecutive years. The full-size truck market is effectively a three-player oligopoly between GM, Ford, and Ram, and right now, two of those three players are in serious trouble. Ford absorbed $14.6 billion in cumulative EV losses through 2025, posted a net loss of $8.2 billion, and canceled the F-150 Lightning. Stellantis saw revenue fall 17% with negative industrial free cash flow and a CEO departure. GM is pressing its advantage precisely when its closest domestic competitors are weakest.

The regulatory environment has also shifted meaningfully in GM's favor for the near term. The CAFE non-compliance penalty was effectively reduced to zero under legislation signed in July 2025. California's EV mandate waiver was revoked. Most importantly, GM no longer has to purchase ZEV compliance credits from Tesla and Rivian, a cost JPMorgan estimated was running at roughly $1 billion annually. These are not theoretical tailwinds. They show up directly in the 2026 guidance as $500 to $750 million in regulatory savings.

The honest counterargument is that this moat has limits. Vehicle manufacturing is capital-intensive, and the barriers to entry, while real, are not permanent. Hyundai and Kia have gained share steadily and are formidable competitors. Chinese automakers like BYD face 100% tariffs today, but the political and regulatory environment can change, and when Chinese OEMs do eventually enter the North American market, it can be expected that Chinese models will immediately appeal to many American consumers due to their software-defined vehicle capabilities and price points that legacy OEMs cannot easily match (unlike when Toyota and Hyundai-Kia first entered the US). The EV truck threat from startups like Rivian and Tesla's Cybertruck has stalled for now, with the Cybertruck down 48% to just 20,000 units in 2025, but the market's long-term direction is still electric. GM's moat is real and durable in body-on-frame trucks specifically. It is not an industry-wide competitive advantage, and it will require sustained investment to defend over the long term.

4. Mispricing Analysis and Catalysts

The discount to the stock's price exists because:

- **Legacy auto stigma & 2009 bankruptcy overhang:** Investors reflexively assign cyclical-distress multiples (5–6x) to all Detroit OEMs, treating GM as if the next recession produces another Chapter 11. This ignores that post-2009 GM has $36B of liquidity and a structurally lower breakeven (~10–11M U.S. SAAR vs. 16M+ historically).
- **EV transition uncertainty:** The $7.6B charge crystallized fears that prior EV capital was wasted.
- **Tariff exposure:** Headline ~$2.5–3.5B gross 2026 cost is an EBIT drag. ~43% of GM's most profitable trucks are assembled in Mexico (Silao, Ramos Arizpe), and the Trump administration's 25% Section 232 tariffs on non-USMCA-compliant content remain a moving target. Korea exposure is also unresolved (15% vs 25%).
- **China:** Despite the 2025 rebound to near-breakeven, multi-year structural decline and BYD/Geely competition keep GMI viewed as a net negative.
- **Cyclical timing:** With SAAR potentially rolling from 16M+ to 15.8–16M in 2026 and auto-loan delinquencies above the GFC peak, investors fear a peak in earnings.

Catalysts for Re-Rating

- **H2 2026 → Silverado/Sierra refresh:** Mid-cycle refresh of the T1XX trucks; this is the most profitable product cycle, and historically drives mix improvement.
- **Full-year 2026 → software segment disclosure:** Investor pressure mounting for separate breakout of Super Cruise/OnStar/data revenue, which could support a higher valuation .
- **Continuing share-count compression:** $6B 2026 program at average $80 retires another ~75M shares (~8%), compounding EPS.
- **Tariff resolution:** Any USMCA renegotiation, Section 232 modification, or Korea trade deal could remove $1–2B of overhang.

5. Investment Thesis

GM trades at 6.1x the midpoint of its updated 2026 adjusted EPS guidance and at a 15-17% free cash flow yield on a $68.5 billion market cap. The S&P 500 trades at a 3 to 4% aggregate FCF yield. GM's is four to five times that. Toyota, with comparable margins, trades at 9-10x forward earnings. Ford, which runs higher EV losses and a weaker North America operation, trades at 6.1x. Against GM's own history, the stock has averaged closer to 10x forward earnings in periods when no structural decline discount was being applied. It sits 40 to 50% below that today. Although it's true that GM is a cyclical manufacturer in the middle of an EV transition, carrying real tariff exposure and a brand association that has never fully recovered from 2009, we think that narrative is stale and the business has structurally changed, while the multiple has not.

Therefore, we rate GM as **Overweight**. The case rests on best-in-class execution among North American OEMs, a management team that has beaten consensus in 35 of the last 36 quarters, and a product portfolio concentrated almost entirely in full-size trucks and SUVs, segments where GM commands above-industry pricing and the lowest incentive spend among the Detroit Three. The FCF dynamics are compelling on their own, but what makes the setup interesting is the software layer embedded inside the consolidated financials that the market is currently undervaluing:

1. Dominant Pricing Power in the Industry's Most Profitable Segments

GM's average transaction price in North America ran at $52,000 to $53,000 in 2025, above the industry average of roughly $49,000. The more important number is incentive spend: GM was at 4.4% of ATP versus an industry average of 6.7%, the lowest discounting ratio among the Detroit Three. On a $52,000 vehicle, that 2.3 percentage point gap is roughly $1,200 per unit GM keeps that competitors' hand back to buyers. Across 2.85 million US vehicles in 2025, that compounds into billions of additional EBIT. This is not an accident. Between 2018 and 2019, Barra made a deliberate and painful decision to exit every low-margin segment (Impala, Cruze, and Sonic were discontinued; four plants were shuttered) and to concentrate the portfolio almost entirely on full-size trucks, large SUVs, and crossovers. These are segments where buyers shop on capability and brand, not on monthly payment. The Silverado and Sierra posted their best combined sales in 20 years in 2025. GM has led the full-size pickup market for six consecutive years and held the top spot in full-size SUVs for 51 straight years. GMNA revenue per vehicle went from $35,700 in 2020 to $46,800 in 2025.

Running 2.3 points below the industry incentive average gives GM a genuine buffer if volumes soften. A manufacturer already at the industry average has no room, but GM does. Dealer inventory ended 2025 at 486,000 units, 18% below year-ago levels, keeping the supply-demand balance tight heading into 2026. Management guided pricing flat to up 0.5% for 2026.

2. A High-Margin Software Business the Market Is Not Pricing

This is the piece the market is most clearly missing. GM ended 2025 with 12 million OnStar subscribers, **$5.4 billion in deferred revenue** (up 65% year-over-year), and roughly $3 billion in recognized revenue expected for 2026. There are over 45 million GM vehicles on US roads and fewer than 13 million current subscribers. That is sub-30% penetration with no incremental distribution cost to reach the rest, because every new GM vehicle sold already comes with hardware enabled. When GM wholesales a vehicle, it immediately expenses all the hardware costs, such as the OnStar antenna, Super Cruise cameras, and connectivity chips. The subscription revenue tied to that hardware gets deferred and recognized over time at margins exceeding 70%. As CFO Paul Jacobson put it at the BofA Auto Summit in March 2026: "The costs have already been in... the cost to grab this additional revenue is already in the baseline."

Super Cruise ended 2025 with 620,000 subscribers (up 80% year-over-year), generated $234 million in realized revenue, and is expected to nearly double to $400 million in 2026. The post-trial renewal rate has remained at 30-40% even as the renewal cohort has doubled in size. Starting with the 2027 model year, GM is unbundling Super Cruise, making it available on high-volume models like the Silverado rather than restricting it to luxury trims, thereby expanding the addressable base dramatically. The catalyst that closes the valuation gap is **segment reporting**. GM does not currently break out software revenue as a separate line item. When it does, it will force a **Sum-of-the-Parts (SOTP) valuation** as analysts apply differentiated multiples to these differentiated economics. Jacobson confirmed this is coming and directly tied the continued buyback program to the software undervaluation, stating GM still sees "considerable undervaluation in the model."

3. Aggressive Capital Return at a Cheap Price

Since late 2023, GM has authorized over $28 billion in buybacks across four programs — $10B, $6B, $6B, and another $6B announced in January 2026 alongside a 20% dividend increase. Every single program was executed at a price below the current stock price. This signals management views shares as undervalued.

The impact on per-share economics is already showing up. Diluted shares have fallen from 1.47 billion at the end of 2021 to 925 million by Q4 2025, a 37% reduction in four years. Adjusted EBIT was actually lower in 2025 than in 2024, yet adjusted EPS hit a record $10.60. The business did not earn more in aggregate, but the same earnings are now spread across far fewer shares. With $6 billion in buybacks authorized for 2026 against a guided FCF of $10 to $11 billion, GM is retiring roughly 9% of its float annually. Even in a flat operating environment, that math drives high-single-digit to low-double-digit EPS growth. Bulls who get to 8x earnings get 30% upside from multiple expansion alone before a single dollar of operational improvement.

4. A Structurally Lower Breakeven Means GM's Earnings Are More Durable Than the Market Thinks

The market keeps pricing GM as a cyclical company, even though that company no longer exists. The 2007 VEBA transfer moved roughly $55 billion in retiree healthcare liabilities off the balance sheet entirely. In addition, the 2009 bankruptcy and CEO Barra's 2018 restructuring cut the US plant footprint from 47 facilities to roughly 30, eliminated 6 unprofitable nameplates, consolidated from 8 brands to 4, and removed approximately $6.5 billion in annual structural costs, with a further $2 billion in salaried reductions in 2023 and 2024.

The result is a GMNA breakeven of 10 to 11 million US industry units, a level breached only once in modern history during a simultaneous financial crisis, double-digit unemployment, and the bankruptcy of two of the three Detroit automakers. Industry sales today are running at roughly 16 million units, roughly 60% above that threshold. GM's 2026 EBIT guidance of $13 to $15 billion assumes a conservative low-16-million SAAR. Demand would have to fall off a cliff before profitability is genuinely threatened.

5. EV Impairment Charges Are Strategic, Not Destructive — And They Improve 2026 Earnings

GM took $7.6 billion in EV-related charges in 2025, and the market read that as a disaster. The more accurate read is that GM paid a one-time cost to permanently exit commitments that were bleeding billions annually, and the 2026 P&L is the direct beneficiary. Breakdown for these charges: $3.0 billion in non-cash asset impairments, including the Orion plant conversion from EV to ICE and the full shutdown of the BrightDrop commercial van program, and $4.6 billion in cash charges for supplier contract cancellations and settlements. In exchange, EV losses are expected to improve by $1.0 to $1.5 billion in 2026 from right-sizing capacity, and GM guided $500 to $750 million in regulatory savings primarily from no longer purchasing ZEV compliance credits from Tesla and Rivian, which JPMorgan estimated were costing GM roughly $1 billion annually. Those two line items alone represent $1.5 to $2.25 billion of year-over-year earnings improvement flowing directly from the restructuring decisions.

GM has guided to a meaningful battery cost reduction tied to second-generation cell architecture and the transition to LFP chemistry, with the Tennessee Ultium Cells facility being retooled with LG Energy Solution to begin LFP production in Q2 2026. When that lands in the vehicle lineup in 2028, the EV segment has a credible path to variable profit positive. That optionality is currently valued at zero.

Financial Analysis

The most important distinction within GM's Financial Statements is between GAAP net income and adjusted EBIT. In 2025, GAAP net income collapsed to $2.7 billion, while adjusted EBIT came in at $12.7 billion, a $10 billion gap driven almost entirely by $7.6 billion in EV restructuring charges and $1.1 billion in China-related items. GM has taken meaningful special items every year since 2018, including Cruise losses, China write-downs, plant closures, UAW separation costs, and recall charges. An analyst accepting adjusted EBIT at face value without scrutinizing the adjustment history would be making an error. The counterargument is that the 2025 EV charges are categorically different from prior items. The $3.0 billion in non-cash impairments removes assets that will never generate returns. The $4.6 billion in supplier settlements buys GM out of contractual obligations that would have dragged EV losses forward for years. The free cash flow confirms this: despite absorbing $7.6 billion in charges, GM generated $10.6 billion in adjusted automotive FCF in 2025, and the business has been FCF positive in every year since 2020. One additional item worth flagging is GM Financial's $114 billion in debt, which appears alarming on a consolidated basis but is entirely structural to the captive lending model and should be analyzed separately from automotive leverage. On an automotive-only basis, GM ended 2025 with net cash positive and $36 billion in total liquidity.

The forward model is anchored in three variables that matter more than revenue growth. First, GMNA margin recovery from 6.8% in 2025 to the 8 to 10% guidance range in 2026, driven by $1.0 to $1.5 billion in EV loss improvement, $500 to $750 million in regulatory savings from eliminating ZEV credit purchases, and approximately $1 billion in warranty normalization. Our base case projects GMNA margin at 8.5% and total adjusted EBIT of approximately $14 billion, squarely inside management's guidance range. Second, share count compression: with $6 billion in buybacks authorized against $10 to $11 billion in projected FCF, diluted shares decline from 904 million toward approximately 830 million by year-end 2026, mechanically boosting EPS by roughly 8 to 9% independent of any operating improvement. Third, the industry-specific metric that matters most for GM is not revenue growth but wholesale ATP per vehicle, which grew from $35,700 in 2020 to $46,800 in 2025, a 31% increase that reflects genuine mix shift and pricing discipline rather than inflation alone. Our 2026 base case projects total adjusted EPS of approximately $12.50, the midpoint of GM's updated $11.50–$13.50 guidance range, rising to $13-$14 in 2027 as the tariff environment normalizes and the next-generation truck platform drives higher per-unit revenue. The critical analytical caution here is that we are not projecting from a cyclical peak. The 2025 margin of 6.8% was compressed by one-time headwinds. The base case is a partial recovery to a mid-cycle level, not an extrapolation of peak conditions into the future.

Valuation

Our primary valuation method is P/E re-rating anchored to GM's own history. At $76, the stock trades at 6.1x the midpoint of GM's updated 2026 adjusted EPS guidance, against a 10-year pre-pandemic historical average of 9 to 10x. We apply an 8.0x target multiple, which is still a 20% discount to the historical mean, producing a price target of $100. The FCF yield cross-check reinforces the case. At a 12% target yield on $11.75 of FCF per share, the implied price is $97.92 (within rounding of the P/E method). GM generated 14.9% FCF yield in 2025 and is guided to 14.0% in 2026, even after absorbing $2.5-$3.5 billion in gross tariff costs. For context, the S&P 500 aggregate FCF yield is approximately 3-4%. GM's yield is four to five times that of the broader market. We exclude EV/EBITDA from the blended target. The automotive-only EV of approximately $63.8 billion divided by consolidated EBITDA of $20.5 billion produces a 3.2x multiple — extraordinarily low, and technically correct, but not a useful comparison given that no traditional OEM peer has a similar GM Financial structure that separates automotive and captive-finance debt so cleanly. It is shown for reference only.

Metric	2025A	2026E	2027E
EV / Adjusted EBIT	5.2x	4.7x	4.3x
EV / EBITDA	3.5x	3.2x	3.0x
P / Adjusted EPS	7.4x	6.1x	5.8x
FCF Yield	14.9%	14.0%	16.1%

Note: EV calculated on automotive segment only (~$63.8B), excluding GM Financial matched-book debt (~$114B). P/Adjusted EPS uses diluted shares and non-GAAP adjusted EPS.

Scenario	EPS	P/E	PT	Assumption
Bear	$10.50	6.5x	~$68	Tariffs elevated, SAAR softens, no re-rate
Base	$12.50	8.0x	$100	Guidance midpoint, partial re-rate
Bull	$13.50	9.0x	~$121	Top of guidance, stronger mitigation, software recognition

Return Decomposition

Method	Target Multiple	2026E Basis	Implied Price	Weight
P / Adj. EPS	8.0x	$12.50	$100.00	60%
EV / EBITDA	3.5x	$20,499M	$84.90	0%
FCF Yield	12.0%	$11.75/share	$97.92	40%
Blended Target			**$99.17**	100%
Upside vs. $76			**~+31%**	

EV/EBITDA excluded from blended target. Automotive-only EV divided by consolidated EBITDA produces a low multiple that reflects the net cash position on the auto side rather than any fundamental undervaluation in that metric. P/E and FCF yield are the more meaningful anchors for this business.

Sell-Side Consensus

Median price target: ~$94–100 median
Distribution: ~19 Buy / 6 Hold / 2 Sell among 31 covered analysts
High target: Barclays/JPMorgan area at ~$100–110 (Barclays raised to $100 in Jan 2026)
Low target: Wells Fargo (Colin Langan) at $48; Nomura at $34 (older)

Sell-Side Estimates

2026E EPS: consensus ~$11.47–12.69 (mean $11.73 per LSEG); range $9.17–13.80. GM guided $11.50–$13.50 (as of Q1 2026 earnings call)
2027E EPS: consensus ~$12.87–14.24; range $9.52–16.52
2028E EPS: ~$13.42–14.85

Risks/Bear Case:

Idiosyncratic Risks

1. **Tariffs — The Most Immediate Threat:** Following GM's Q1 2026 earnings call, it now expects $2.5–$3.5B of gross 2026 tariff costs, down from its prior $3–$4B estimate, though policy volatility remains a key risk. In 2025, GM's North American production mix was roughly 64% in the US and 31% in Mexico. About 43% of its most profitable full-size pickups were built in Mexico and Canada. These vehicles now face 25% import tariffs that GM cannot fully offset through pricing without destroying demand. Management mitigated over 40% of the 2025 tariff impact, ahead of target. The 2026 problem is larger, and the mitigation playbook becomes harder to execute as the easy levers are pulled first. Korea exposure adds another layer — the Buick Encore GX and Trax face 25% tariffs after the legislative impasse, potentially adding several hundred million dollars of unplanned cost. Deutsche Bank downgraded GM specifically on this concern in April 2026.
2. **Full-Size Truck Dominance Is More Fragile Than It Looks:** GM generates an estimated 60 to 70% of GMNA operating profit from full-size trucks and large SUVs. That concentration is a strength in good times and a single point of failure in bad ones. Stellantis is bringing back the Ram Hemi V8 with over 10,000 first-day orders. GM's own plant retooling for next-generation trucks creates an intentional production gap in 2026 where inventory is constrained, giving Ram a window to gain ground. Sustained gas prices above $5 per gallon, which truck buyers absorb, would begin shifting buyers down-segment, hurting GM's mix meaningfully.
3. **The Recall Problem Is Structural:** Platform consolidation is the same strategy that lowered the breakeven and drove margin expansion. It also has a hidden cost. When you build 1.28 million trucks and SUVs annually on the same T1XX platform, a single defect can affect millions of vehicles simultaneously. GM already faced a $1.1 billion warranty charge in 2025 related to connecting rod failures in the 6.2L V8 L87 engine across the Tahoe, Yukon, Escalade, and Silverado. The platform scale that creates operating leverage in good times creates recall exposure in bad ones. This risk does not show up in models until it does.
4. **Data Privacy Litigation:** More than 25 class-action suits have been filed alleging GM sold OnStar driver-behavior data to insurers, including LexisNexis and Verisk. Q4 2025 included $357 million in OnStar and airbag-related legal reserves. Further charges are possible. Regulatory restrictions on connected vehicle data would impair both the OnStar subscriber growth and the deferred revenue build.
5. **Pension Underfunding and UAW 2028:** GM's global pension was underfunded by approximately $3.6 billion as of December 2025. The projected benefit obligation increases when interest rates decline, because future obligations are discounted at lower rates. International contributions could reach $390 million in 2026. More consequentially, the UAW contract expires April 30, 2028. The 2023 strike cost GM roughly $1.1 billion, and the resulting deal added $9.3 billion in total labor costs over the contract period. The 2028 negotiation arrives as GM's EV transition accelerates and union leverage over EV-plant staffing terms is at its highest. There is a

realistic scenario where resumed pension and retiree healthcare obligations partially reverse the structural cost improvements at the center of the bull case.

6. **Further EV Charges:** Management explicitly warned of additional material charges in 2026, though at significantly lower levels than in 2025. The $4.6 billion in cash supplier settlement costs from 2025 flows out through 2026. If EV demand disappoints further or if additional supplier disputes emerge, the income statement is not yet fully clean.

Systemic Risks

1. **Macro and Cyclicality:** Auto stocks fall hard in recessions even when the underlying business is structurally sound. Consumer confidence hit a 70-year low in early 2026. Auto loan delinquency rates are at 1.47%, above the Great Recession peak of 1.45%. Average monthly vehicle payments hit a record $776, and new vehicle ATPs have crossed $50,000 for the first time. If unemployment rises meaningfully from here, SAAR could fall below the "low 16 million" assumption embedded in GM's guidance. GM's breakeven is now 10 to 11 million US industry units — that structural improvement is the center of the bull case — but there is significant earnings pain between 16 million and 11 million. A move to 14 million SAAR would not threaten solvency but would meaningfully compress EBIT, and the multiple would compress further on top of that.
2. **EV Transition Risk Cuts Both Ways:** The bear case on EVs is not that GM is spending too much. It is that GM has pulled back so aggressively that it risks losing relevance in a segment that will matter enormously over the next decade. GM holds roughly 13% of the US EV market today, second only to Tesla. But its EV lineup is narrowing, production capacity has been cut, and the LFP battery cost reduction that makes EVs economical won't arrive until 2028. Chinese automakers like BYD have EV manufacturing costs that are structurally 20 to 30% below those of US producers. They face 100% tariffs today, but tariff regimes change with administrations. When Chinese OEMs do enter the North American market on scale, they will arrive with software-defined capabilities and price points that legacy OEMs cannot easily match. GM is betting on being the value-added software leader rather than the EV cost leader. That is a reasonable bet. It is not a certain one.
3. **China:** Long-term competitive pressure from BYD, Xiaomi, and Geely continues to erode SAIC-GM's volume and profitability. The 2024 restructuring write-down of $4.4 billion was a reset, not a resolution.
4. **Semiconductor Supply:** DRAM and automotive-grade IC capacity are increasingly being prioritized by Samsung, SK Hynix, and Micron to meet AI data center demand, which supplies the vast majority of automotive memory chips. S&P Global flagged potential price increases of 70 to 100% for automotive DRAM in 2026. GM has not yet quantified the exposure, but management acknowledged the risk. A repeat of the 2021-2022 chip shortage — even a partial one — would directly compress GMNA volumes and margins.